

# The Commodities Feed: Hormuz remains blocked for now

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached



ICE Brent is back above USD 97/bbl

## Energy – Oil rebounds amid Hormuz uncertainty

Oil prices rebounded on Thursday after suffering their sharpest daily drop since April 2020, with ICE Brent rising more than 3% to trade back above USD 97/bbl. Prices rebounded as fighting in the Middle East continued, and the ceasefire outlook deteriorated, keeping uncertainty around the Strait of Hormuz firmly in focus.

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached.

Israel has launched its largest assault on Lebanon since the start of its invasion, while President Donald Trump said the US military would “remain in place in, and around Iran, until such time as the real agreement reached is fully complied with.” An Iranian delegation is due to arrive in Islamabad on Thursday night.

Oil tanker traffic through the Strait of Hormuz has been halted, heightening supply risks. With a full reopening of the strait unlikely in the near term, oil prices are expected to remain supported, as

disruptions linked to reduced output and refinery shutdowns will take time to unwind.

US inventory data was mixed. The EIA reported that crude stocks rose by 3.1m barrels last week, marking a seventh consecutive build and well above expectations for a 0.76m barrel increase. Total crude inventories reached 464.7m barrels, the highest level since June 2023, and stand around 2% above the five-year average. Stocks at Cushing edged up by 24k barrels to 31.5m barrels. Crude imports fell by 130k b/d to 6.3m b/d, while exports jumped by 628k b/d to 4.1m b/d.

In refined products, gasoline stocks fell by 1.6m barrels for an eighth consecutive week, while distillate inventories declined by 3.1m barrels, extending drawdowns into a second week and exceeding market expectations.

Meanwhile, European gas prices posted their steepest daily fall in more than two years. TTF futures dropped over 20% to an intraday low of EUR 42.5/MWh, the lowest level since 2 March, reflecting optimism around a potential temporary reopening of the Strait of Hormuz. Markets are watching US-Iran talks closely, with no LNG tanker having transited the strait since the conflict began. EU gas storage has edged higher to 28.8% full, still well below 35% a year ago and the five-year average of 41.6%.

## Metals – Gold remains sensitive to geopolitical developments

Gold pared earlier gains after Iran's parliamentary speaker said last night a temporary ceasefire with the US had been violated. Reports of continued fighting, including Iranian strikes on Gulf states, and ongoing disruption to traffic through the Strait of Hormuz kept geopolitical risks elevated. Uncertainty also persists over whether the ceasefire extends to Israel's campaign in Lebanon.

Earlier in Wednesday's session, gold had climbed above \$4,800/oz alongside global equities as a two week truce between the US and Iran briefly lifted risk appetite and eased fears of a broader economic shock.

Conflicting geopolitical signals are driving choppy price action in gold, with safe haven demand offset by shifts in risk sentiment and dollar moves.

Looking ahead, gold is likely to remain headline driven in the near term, with further clarity on the durability and scope of the ceasefire key for determining whether prices can regain upside momentum.

In industrial metals, LME copper erased earlier gains and traded lower on Thursday as renewed hostilities dented confidence in the fragile US-Iran ceasefire. On the supply side, rising inventories added pressure, with LME stocks climbing by a further 6,500 tonnes for a third straight session to 385,275 tonnes, the highest level since March 2018, underlining subdued demand despite the recent improvement in sentiment.

Meanwhile, the latest LME COTR report shows that speculators added to net long positions in aluminium for a second consecutive week, with net longs rising by 11,567 lots to 94,554 lots in the week ending 3 April. The increase was largely driven by short covering, with short positions falling by 28,801 lots amid tight global supply. Elsewhere, net long positions in copper rose by 7,167 lots to 45,896 lots, while zinc net longs edged up by 442 lots to 40,613 lots.

## Agriculture – Ukraine grain shipments decline

Data from Ukraine's Agriculture Ministry shows that grain and legume exports in the 2025/26 marketing year have fallen to around 26.8mt as of 8 April, down 31% year-on-year. Corn shipments totalled 14.8mt, a 16% annual decline, while wheat exports fell 24% YoY to 10.2mt. The drop continues to reflect disruptions from ongoing Russian attacks on Ukraine's port infrastructure.

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